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COMPANY DEEP-DIVE

Senior Vice President at Ascot Group Sees Strategic Value in Microsoft's E7 Bundle for AI Enablement and Cost Efficiency

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SMART SUMMARY

Summary

The interview covers the company's adoption and use of Microsoft's E7 bundle, with a focus on Copilot, Copilot Cowork, and Agent 365. Discussion includes licensing strategy, AI-driven productivity improvements, cost management, and governance of AI tools and agents.

EXPERT BACKGROUND

- Senior executive overseeing infrastructure operations, digital workplace, DevOps, and Microsoft environments for a 2,500-person enterprise with deep experience in Microsoft licensing, AI adoption, and enterprise IT governance.

EXPERT SENTIMENT

- **Very positive about the strategic value and integration of Microsoft's E7 bundle**, especially for AI enablement and security.
- Cautiously optimistic about current cost savings but concerned about future price increases and the sustainability of current pricing models, especially with token-based consumption.
- Believes Microsoft's AI ecosystem is the best fit for their needs, but remains vigilant about governance, cost control, and potential competitive offerings.

TAKEAWAYS

- **The company transitioned from E5 to E7 licenses primarily for cost savings** (15% less than E5 alone) and to enable a unified, scalable AI platform, with Copilot included for all users.
- **Copilot is now standard for all employees, including contractors, and is heavily used for productivity gains such as document generation, meeting transcription, and summarization, with measurable time savings**.
- Copilot Cowork is used for advanced, collaborative tasks but is tightly governed due to high token-based costs; only select users have access, and strict budget controls are enforced to prevent runaway expenses.
- Agent 365 is being adopted to provide governance and oversight for AI agents, aiming to prevent shadow IT and data leakage, though it is still early in deployment.
- The company has moved away from using Claude and ChatGPT in favor of consolidating on Microsoft's AI stack for security and governance reasons, but remains open to evaluating alternatives like ServiceNow's AI Control Tower.

AlphaSense Assistant is AI Generated

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Expert Bio

Senior Vice President : Infrastructure Operations and Services at Ascot Group. Expert can speak to their extensive experience in evaluating and transitioning Microsoft software solutions, providing valuable insights into the adoption and functionality of the E7 bundle and Agent365

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product. Senior Vice President of Infrastructure Operations and Services at Ascot Group. Reporting to the Group Chief Information Officer, the expert is responsible for leading the global strategy, performance, and evolution of the company's technology foundations, ensuring stability, resilience, and scalability across the platforms that support underwriting, operations, and digital services. Prior to this role, the expert was the Global Head of IT Infrastructure at Ascot Group, leaving in November 2023. Reporting to the Group Chief Information Officer, the expert was responsible for managing the global IT infrastructure, optimizing system reliability, and aligning the organization's technology landscape with its business expansion goals. Prior to this role, the expert was the IT Infrastructure Manager at Ascot Group, leaving in January 2020. Reporting to the Group Head of IT, the expert was responsible for end-to-end IT leadership across systems, infrastructure, and support services, ensuring resilient, secure, and high-performing operations. The expert can speak to global technology strategy, infrastructure operations, IT service management, platform scalability, disaster recovery, cloud evolution, and maintaining high-performance digital foundations in the specialty insurance and reinsurance sector.

Interview Transcript

Client 00:00:00

Hi. Thanks for taking the time to talk with me. I am interested in learning more about Microsoft and trying to learn about some of the company's AI efforts. It's a fast-moving world, but they have their new E7 bundle. Some of the highlights in there, I think, are Microsoft 365 Copilot, Agent 365, maybe Entra ID is also included. It looks like you guys had recently adopted it, so I was curious to pick your brain. Maybe if you wouldn't mind starting with some initial background on yourself and your role at Ascot, like how big the company is, maybe how many Microsoft seats you have.

Expert 00:00:40

I'm the senior vice president of infrastructure operations and services. My remit is everything to do with Azure platforms, infrastructure networking firewalls, digital workplace, DevOps, M365 environment. I look after everything to do with licensing and the world of Microsoft. Originally, going back about five years ago, we adopted E3 licenses for everyone and then moved to E5. Earlier, when E7 was announced in July, we moved to E7. We've got around 2,000 E7 seats. We were a very early adopter of Copilot. We had E5 and Copilot running simultaneously together, and we are what we like to call a Microsoft Frontier partner. We get all the latest and greatest stuff early, and we get their private access ability.

We started using a lot of the Frontier suite, especially when it came to the likes of Cowork and whatnot. For us, E7 was a natural progression, especially considering **it's a cost saving** when you add E5 and Copilot together bundled. From my perspective, we're a big AI house. We do a lot of work with Palantir. We built a lot of Copilot and Microsoft AI internally. E7 has become my whole baby. I'm more than happy to discuss E7 in a whole, why we took it, why **execs and people should care about E7, and the benefits of the likes of Agent** 365.

Client 00:02:14

Sounds great. Just to make sure, I wrote the numbers here, but you said 2,000 E7 seats, and is that the whole firm? The number of people?

Expert 00:02:24

No, there are 499 licenses that are waiting to be converted from E5 to E7 on our Microsoft EA agreement. CSP agreements are done really fast, and because it's an indirect EA, has taken a little bit longer. It will be about 2,500 in total.

Client 00:02:45

Got it. Maybe you could go into the key drivers from switching from E5 to E7. We've already hit on a few of the new things that are now included, but maybe why you saw value in them. Also maybe you can touch on pricing since I'm not sure what price you're paying.

Expert 00:03:04

We got a very, very good price because we bought it at the end of Microsoft's financial year, so limited. I can't share what pricing we get because we're not meant to, but I can tell you we're paying 15% less than we were for E5 alone.

Client 00:03:20

15%less than for E5?

Expert 00:03:24

Alone, yeah.

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Client 00:03:25

Wow, how does that work?

Expert 00:03:28

A very, very good end-of-year pricing. Let's say this way. I'm initially getting close to $200,000 - $300,000 of rebates from Microsoft. Funny enough, I had to write a PowerPoint on this. If someone was to ask me why Ascot moved from E5 to E7, it wasn't just because of licensing. It does help. The cost was also very good, but the real driver is the foundations of how we intend to use AI in the future and how we're an AI-enabled company considering everyone in our company gets Copilot. Whether you're a contractor, third party, everyone in Ascot gets Copilot. E7 gives us that platform that combines the AI side security identity because we're now also big on the identity pieces. We're working on a zero trust concept.

At agent management, we're building a lot of internal agents. Agent 365 allows us to manage those agents. They put everything into a single operating model that enables Ascot's growth ambitions, and **it strengthens our security posture,** and provides a framework for how we scale that AI. Historically, **E5 for Ascot had been an excellent platform** for us to start with. Solely owing to the amount of M365 apps we were using, and the arrival of Copilot and the emergence of AI agents changed that conversation for Ascot, and it was a very easy strategic decision to move to E7. One of the keys there is making AI accessible. With E7, of course, you get Copilot Standard, so it's automatically bundled in. It's not a buy E5 license, buy Copilot licenses and try and attach them together.

Within Ascot, Copilot is no longer viewed as a niche tool. We decided we wanted everyone to have it. It was a standard for everyone. We see massive value in Copilot. It's not just simply rewriting emails to make them sound more polite when you're angry. We use it heavily for research analysis, document generation. I use it as knowledge discovery. "It helps me Google faster," is what I always say. When you look at that top tier of Agent 365 and that next evolution of AI, lots of organizations, especially us, are focused on Copilot. We're pushing heavily on AI agents. We've built a lot.

Our new HR system, we've built called HeRa, is an in-house AI agent that allows us to talk to HR, and it allows us to perform tasks, process information, and automate our interactions on behalf of users much quicker. One of the biggest sides is also our cybersecurity enhancements we've been working at. When we spoke to Microsoft about E7, that was one of their big pushes, was that identity governance administration and the further E7 identity capabilities which helped push it. It wasn't just an AI thing, and I will honestly say it's probably mainly a price thing more than anything at the moment because we got that locked in for three years. That's the key to our commercial activities on that.

For us, it was just the next stepping stone. E7 had been on the horizon for a while, so E5 secured us and enabled us, and E7 is allowing us to become more secure, govern our future. It allows us to create a scalable AI platform across Ascot. I got a good price. Most companies aren't going to say that because most companies are going to be paying the price. If you look at list price, it's a couple of dollars more than E5 Copilot put together. We're an exception because we got a good deal. It helps us significantly.

Client 00:07:27

Got it. Sorry, just to make sure I understand again on the pricing, you don't need to give an exact amount, but I think your E5 list pricing at this point is around $60 or so per user, and you're saying you got something less than that for E7?

Expert 00:07:41

Yeah. If you take list price for E5, it worked out like 14.6% discount on the list price for E5 for E7, locked in for three years. That's only on CSP, though. Annoyingly, on our indirect EA, because **we had to buy after Microsoft's end of year, there is a price increase for that**. Tthe indirect EA is a bit more pricey, and we din'ot get that discounted, but we got the three-year CSP locked in with a fixed price, which was a blessing because it offsets the price for increase we have from the EA.

Client 00:08:17

Are you going to get some massive price increase when that three-year deal is up?

Expert 00:08:22

Yeah, I fear. When it hits three years and then I'm doing a renewal, **it's one of those annoying ones** because we always budget for inflationary increases. In that three years' time, it's going to be massively above inflation pay rate increase. You're looking at 15% straight away plus whatever inflation increases Microsoft puts in. In three years' time, I'm probably going to be hit by a 25%, 20% price increase unless I can renegotiate or there are any deals. That's the key with Microsoft, is finding out when they're running promos. We've done it with Cowork licenses. Tokens were huge, Cowork, and **it was cheaper** for us to buy Copilot Studio licenses than it was to buy P3 bundle. That's the key, is trying to always stay on top of what we can do.

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Client 00:09:14

All right. Maybe further unpacking the new features that you get in the E7 bundle and starting with Copilot. It sounds like you guys are basically, let's call it, 100% penetration now. I don't know what that was a year ago.

Expert 00:09:30

It's funny. We're 100% people who have access to it. Previously, it was probably about 70%. We never used to give it to third-party contractors. It was Ascot staff and FTEs and perm contractors. **The uptake of that** was about 80%, so 80% of that 70%. We now have given 100% of everyone access to Copilot. Fair enough, over this recently, we've seen **our adoption dropped around 75%-77%**. We expect that more because all these new people aren't aware they have it now because they've always been told, "You're never getting it." Now we're just allowing everyone to just have it.

Client 00:10:18

You touched briefly on some of the key use cases you guys are seeing with Copilot, but maybe you could go into some more depth on those and any way in which you're measuring productivity gains or return on investment. I guess you got it for free.

Expert 00:10:32

This is the fun thing because this has always been one of my big sayings with my boss. If we're giving everyone Copilot and AI, we need to make sure, when you're paying for it, that we're actually utilizing it, and it's making improvements and enhancements because fundamentally, you've got to offset that cost somewhere. That's always been my argument, is if we're paying X amount for an AI product, we've got to show those efficiencies. If we can't, there's no point us having it.

We get this a lot. For instance, we use Copilot for GitHub, which becomes quite pricey if you've got a developer who's only developing on that and can't develop on anything else. I'm like, "Show me where **they're making efficiencies for us**." When you talk about Copilot, they emotionally just focus on that AI piece. For me, it's more the productivity, the employee experience, and the outcomes we can get from a business. Ascot has got this AI vision led by a guy called Christian Toft-Nielsen, who came from IBM and joined us. It's never been to deploy AI for the sake of AI. We always look for that view that it's to embed AI and Copilot, for instance, in everyday work to improve quality, accelerate our decision-making, and to actually do measurable productive improvements.

For instance, some of the biggest amount of useful AI within Ascot is writing documents, although Cowork is taking a lot from that. We use it a lot for reading and summarizing. We've got transcription enabled for all our meetings, so it gives us a nice summary on our meetings, taking notes, chasing actions, and improving the landscape of work. What's this meeting for? What we do in it, summarize it without one having to take fundamentally old-school notes and having to write it up. For us, it's to reduce that administrative overhead, so you can focus on higher-value stuff when you take into account how much underwriters in the insurance industry are paid. If you can just save half an hour a day, that's a big win.

Key points are the email productivity, I use it heavily to draft emails, rewrite emails. You see that a lot internally. You can always tell when someone has used Copilot to write an email because it puts hyphens in everything, and it's very robotic and whatnot. It's funny because my highlights are when people don't take the prompts out. You still get the prompts on their email. For me, one of the keys that I use it for is summarizing message threads. I have it enabled, so it gives me a summary of all my emails. Fundamentally, if I can just quickly read over the summary, I don't need to read the whole email when people in IT and tech like to rabbit on for a very long time.

We use it for transcripts across Teams. All our Teams meetings have transcribe enabled. It allows us to make all the notes without feelings and whatnot and just leave that AI bot to do the summaries. Quite often in big calls, I ask questions. If I attend a meeting late, it's quite nice. You ask it a question, then you tell it to give a summary of the meeting, and it tells you what's going on. We've just enabled Copilot Notebooks for my team.

If one of us can't make a meeting, someone else attends it. Copilot automatically writes the notes, puts it into a shared notebook, and we can all collaborate and share. It's all that American dream of AI, but it's lovely, especially Cowork now with the Frontier group, and now we're only seven. A lot of document creation. It writes a lot of our business cases, project updates, board papers. It makes everything pretty, and in a really nice executive way. I said that PowerPoint executive reporting is great on it. For us, it helps you Google quicker, I tell the team. You ask it a question, it will search quicker, and it will give you a better answer.

From an Ascot-specific, we've discussed AI initiatives for likes of underwriting risk assessment claims, reinsurance workflows. For us, it helps to improve cycle time of business throughput when you take into account our work with Palantir as well. We can quote faster, and we can have better submission analysis. We measure it, so we do quite a lot of analysis on how many license were deployed and in use, number of users, the prompt counts. We did a prompt-a-thon quite recently. We built standard prompts for people, and built out how we could improve efficiencies. We do a lot on adaptive metrics. We look at the frequency of usage, amount monthly users, and whatnot. We built out a matrix of time saved. For instance, meeting notes, what used to take 30 minutes now only takes five minutes.

Presentation preparation is one of the highest ones. Something that used to take a day to build board papers now takes three to four hours, and that really shows the time saved. We don't just measure by the amount of prompts used, that's the key, because also we can see people just waste prompts. **This was one of the biggest issues** when we put out Cowork. People just used it as a novelty and then forgot

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that it costs us money every single time on the token side. It's a big user education. If we measure adoption across Ascot, it's the time saved, the employee experience, and the business outcomes. It's bode well for us, and it was a very good easy idea to move from E5 plus Copilot bolt-on to the E7 bundle.

Client 00:16:24

Got it. I did want to ask more about Copilot Cowork because it's a newer feature. I think it only went GA in June, so most other customers we've spoken with aren't still familiar with it. It sounds like you guys are maybe pretty heavily users, and I would be curious to hear what you see on the usage based pricing side.

Expert 00:16:48

It's absolutely frightening. You have to be clever how you license it. This was quite bad. We were a frontier partner, so we got Cowork for free to start with. Databricks is doing the same. It annoys the life out of me because they give you this taster. We deployed Cowork to what we call the frontier groups. There are about 100 users. They went crazy because they could. There was no limit. They built so many scheduled reports. It did everything for them. It took in all their information, and it was fantastic. All of a sudden, I had to go to everyone. It's now costing us tokens. It was ridiculous. I remember the first month we went from 800,000 tokens to 3.3 million. It was just ridiculous, the cost.

It was bad because no one had a pricing model or tool until all of a sudden you could do that slash cost to look at how much a token cost you. It's interesting because, and this is one thing we're trying to get through, we don't view Cowork as a replacement for Copilot, and this is the education we've got to try to give people. Copilot doesn't have tokens, Cowork does. That's been one of the key, what we found, is trying to differentiate the difference between Cowork and Copilot. We call Copilot our primary everyday AI tool. It's your AI assistant, your AI EA, that you use day-to-day work, across Outlook, the M365 stack, and it's our standard layer across everything.

Cowork for us sits above that. Cowork for us is that specialty, collaborative, advanced reasoning, deep analysis research, annual more complex workflows. For us, it's those situations that Copilot reaches its limits, and you need that AI Claude base Cowork to take it to the next level and also justify the additional cost because everything using Cowork has a token. I'll tell you how we licensed it at the end of my spiel. This is the issue. When we brought Cowork in, one of my key pushes was we need to position it as not just a better Copilot because if you just tell people it's a better version of Copilot, they'll just migrate everything to the tool and then your consumption growth grows.

We saw internally where users were spending 150,000 tokens in two days because they were just using it for everything. Instead of using Copilot, they're using Cowork. We had to push this encouragement that it should be Copilot first, Cowork second. You always should start with Copilot and then move to Cowork when you generally need something a bit more advanced reasoning or special analysis. From a user case perspective, **we've seen the strongest value in areas** such as research, analysis, and those beautiful presentations. A Cowork can make a PowerPoint the most beautiful executive PowerPoint you've ever seen, and for me it is great and I use it a lot when I'm doing board papers.

For instance, our underwrite support teams leverage Cowork to review submissions. They extract the information from PDFs, they pull out pricing, the wordings, and export it into a much nicer setup. I always call it posh OCR because fundamentally it's posh OCR, but it's OCR that works well. Some of these user cases that we're using for people are starting to look less like prompts and more like repeatable business processes, and then we're looking at changing that to become an agent. That's the key.

This is where you've got to be key. You can't just let people run wild. You have to keep reviewing it and going, "Is that worthy of Coworker? Shall we just make that into an agent?" That's what we fundamentally did in the end, is move it over to an agent to save cost and money. The key is also to share to everyone that Cowork is a consumption-based model, so every interaction you use costs tokens and credits, and there is a strong relationship between usage and cost. We found, and this is key, the biggest areas of use are actuaries and finance, and then the odd IT person who just went a little bit crazy because I think it was around 17%, 18% of users generated about 80% of the usage of Cowork.

This showed us that our governance was key, and also we don't give everyone Cowork. The plan is out of our massive organization, only about 400 people are going to get Cowork. It's also led us to put in credit caps. We put in organization allocations, and we do reporting. We've built reporting in, so it automatically tells at the end of every week and day to the line managers how many tokens they've used and how many are left. One of the other keys we've built is an agent, and it's one of those catch-22s because it costs tokens to run the agent. When you start up a Cowork, it will give it quick review and go, "This might be best placed in Copilot." It's something we've recently built. Funny enough, this week, we've just finished building it.

The key of that is trying overall to reduce our token count. Commercially, I'm very, very pleased with where we landed. I negotiate, so we've got 30 million prepaid tokens in total. Fifteen million came from the Azure P3 bundle pack that you can buy. On your Azure reservations, we just bought 15 million for, I think it was around $100,000-$150,000. It's whatever the list price because you don't get discount on reserved reservations. We bought another 15 million through a Microsoft promo. Copilot Studio, if you bought the licenses themselves, gave you so many free tokens and credits, so ended up buying a massive amount. We bought next another 15 million for about $90,000-$110,000. In total, we've got about 30 million tokens for what is now $200,000 to $300,000, compared to, is it $0.01 per token?

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We got a very good deal in the end. That was all through SoftwareOne. I'm happy to announce that because we've done that case study with SoftwareOne. Everyone knows that we work closely with them with Copilot and licensing. That's going to be the key also is the more that we're using it, we're going to have to look at the best cost optimization. Fundamentally, we're going to go through that 30 million tokens, I reckon, in seven to eight months. We're going to have to look at bigger reservations going forward. **The big difficulty** is that that discount Microsoft gives you, that percentage just doesn't feel high enough when you commit to the higher numbers. It was just the annoyance that they gave you two for free. We went wild, then all of a sudden, you're reined back in.

Client 00:24:16

That was a question I had or something I've been wondering about. I wonder, maybe part of the reason they were so willing to be nice with you on a discount on the E7 seat prices is because you guys started to generate usage on the Cowork front. This is maybe too hard to do, but if you had to guess a blended per-user-per-month price when you also factor in the usage or token pricing that you're paying, then what's your total price?

Expert 00:24:44

I could tell you I can work it out quickly. We also use the benefit of Microsoft. It's one of those stupid companies where the U.K. is separate to the U.S. and the Caribbean. We basically get **Microsoft to fight among themselves** and go with whichever one gives us the best pricing. If we average 100,000 tokens being used by the heaviest users, we're looking at about low four figures for a heavy user, That's for the heaviest users, which to be honest, we're trying to limit it to about 50 heavy users.

Client 00:25:19

Is it per month?

Expert 00:25:21

Per month, which sounds frightening. That's for the heaviest users. When you base it on the lower users, say if you look at the report, average usage is about 14,000, 20,000 tokens a month. We've got one individual, funny enough in IT, who is currently using on average about 115,000 tokens a day. He's trying to build something, and hopefully it dies down. That's what frightens me and why you have to be so on top of governance. You have to be because no one is ever going to go and tell their CEO, "You can't have any more Cowork licenses. You can't have any more tokens." No one wants to have that conversation. Were never going to do it. **Someone at the bottom will have to lose their allocation for the month**.

Client 00:26:14

Maybe that super hardcore user group is small, but low four figures per month, that's significant. I'm sure Microsoft is willing to discount on the the seat-based price if you're doing that.

Expert 00:26:26

100%. I think they're going to make their money back. What we've got on discount, it will spend that straight away on reservations for Copilot Cowork. It's one of those funny, and you're right when you think about it. Although we've got E7 discounted, we spend that on Copilot Cowork licenses. Actually more, we will spend that and more.

Client 00:26:51

That's super helpful. One thing we've been trying to learn more about, and Microsoft, at least to investors, they always make it confusing, but they obviously want to be the platform upon which enterprises build agents. That's a position that **many technology companies are trying to win in that space**. Microsoft talks about how you can build agents through Copilot, and you can build them through Copilot Studio, or maybe if you're more technical, you can build them through Microsoft Fabric. It sounds like Microsoft is Ascot's agent building platform, but I'd love to just hear where you're building agents between those different services I mentioned.

Expert 00:27:33

Cool. We've got a number. Funnily enough, we've got Foundry, and we've got Copilot Studio, and then we've got Copilot Standard. We've built an HR prompt app on Copilot Studio, which we called HeRa. We have Fleet. We built a tool called Fleet internally using Copilot Studio, **which allowed us** to take in auto submissions and basically allow us to bind and take that information in straightaway, and move it from inbox submissions into our underwriting platform, so company system called IMS. HeRa is built on agent. Funnily enough, we haven't built anything much that's not on agent. We've built on Foundry recently.

We did a doc comparison tool on Foundry, which we've just put live. That uses a function app, a logic app, and a web front page. It allows an underwriter to put the document and the wordings from last year's policy against this year's policy and look at all the differences in

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between the policy changes. Again, this is why I find it's a posh OCR because Adobe has a document comparison tool. For me, that tool is better for legal more than anything. Funny enough, when we had the conversation, I said it should go to legal. The biggest one we're running, and this is on Foundry, is our global ingestion. I think it's key.

When it's becoming a big tool, we use Foundry for those nice-to-haves. It runs on Copilot or Copilot Studio. We're doing a global ingestion solution. Quote comes into the email inbox, then the underwriter would then forward it to another mailbox. That mailbox would then ingest it through Foundry. Foundry then would take out all the standard information that we would need for our policy underwriting system and automatically populate it. Previously, what would happen is a physical person would have to go through that information, dig it all out, upload it into our underwriting platforms.

Basically, **you're cutting out** data entry people and decided we use Foundry as a tool to extract it all, and it also gives us a confidence rating. We did another one like that for confidence underwriting called Kairos. That was a Copilot agent job, and that used to drop a submission into Teams. It would then be ingested, also using Foundry, but it was an agent from Foundry. It would ask you a load of questions about the policy and what your appetite is.

It would then give you a confidence score of how much you think it should be underwritten, so it was between A and F in regards to quality, and then it would allow us to pre-intent if we want to take that risk up or not. To be honest, we're trying to find any excuse to use AI, any excuse whatsoever. It's like the document comparison one. We've got Adobe Acrobat. It's got a document comparison solution built into it. Why are we not using that? I feel like we're invested in AI. We say we're an AI-centric company. We need to try and use it as much as we possibly can.

Client 00:30:48

Sometimes whether you're using Copilot Studio or Foundry, does it depend on who the person is building the agent because sometimes we hear that maybe they need to be a bit more technically savvy to use Foundry, whereas Copilot Studio, anyone can build an agent with.

Expert 00:31:05

There are distinct layers. First layer is Copilot, so that's your general day-to-day user. Agent we gave to the in-team developers. Our actuaries, the more techie people in team use agents. When it comes to Foundry, it's always to a third party, like a Cognizant or someone like that, one of the big players who understand Foundry. One, because if you do it badly or wrong, there's a huge cost to it.

When it comes to more complex architecture, deeper integration patterns, or even multi-agent systems, we move to Foundry, but that needs more specialist niche. We couldn't give Foundry to your day-to-day actuarial developer, one, because they'd go crazy because they're an actual developer, and they don't like spending money. Two, it needs a bit more specialist knowledge and understanding. It goes Copilot standard for your everyday user. If you're a bit more tech-savvy, you do Studio and then third-party consultancy for Foundry.

Client 00:32:14

Got it. Another question that we and other investors have is whether ChatGPT and Claude for business are competitive with Microsoft Copilot. I don't know if you guys have ChatGPT and Claude licenses within your company, but do they overlap from a usage standpoint, or can they coexist?

Expert 00:32:34

We used to have Claude. We no longer do because we have Cowork. Both ChatGPT and Claude are competitive. They all have their benefits in different ways. Internally, it was never an AI free-for-all. That's why we gave everyone Copilot. We gave certain individuals access to ChatGPT and Claude. ChatGPT for me, the biggest strength is its general purpose. For me, ChatGPT is much like Copilot. It's good for coding, not strongest for coding, but your day-to-day usage is ChatGPT is Copilot.

For me, Claude is the closest thing to Cowork, and you can use the Claude workbooks in Cowork. Previously where we had all the different agents, we now tried to summarize it. If you use ChatGPT, you use Copilot now. If you use Claude, you now use Cowork. It allows us to keep everything in that Microsoft house, and for us **the biggest thing is data leakage**. We don't want to leak certain information or share certain things, and within our Copilot and Microsoft environment, everything is very siloed. We've got amazing governance around it, where on the Claude, it's a little bit more out there, and we don't want to just give everyone access to it.

Claude and ChatGPT are good, but the benefit also with Copilot is it sits underlining on all that M365 infrastructure. You can't open a Microsoft app without having Copilot now. I think fundamentally we're going to get rid of everything to do with Claude and everything to do with ChatGPT and have a single AI provider which will be Copilot. Of course, you've got the Anthropic models now, the OpenAI models in Copilot, and I think it gives you that best all-rounder. No different to if you're a Google house, you'll use Gemini. If you're a Microsoft house, you'll use Copilot, and these agents and these tooling will get the best of all of those in the long term.

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Client 00:34:39

Got it. Were any of those people that were using ChatGPT or Claude annoyed when they had to switch to Copilot, or they didn't see much difference in quality?

Expert 00:34:48

Only two people, and they were just CIOs because they're just set in their ways, and they just loved it. I think when you get used to using a certain tool outside of work, you want to bring that into your work and carry on using it. After a while, when we distribute out Cowork, **it's a bit of a pain** originally because it's an agent, and then you've got to deploy the agent for Cowork. This is when Cowork first came out. Now it's much easier because it's embedded, and you literally have a tab that says chat and a tab that says Cowork. When Cowork first came out as an agent, you had to go into Copilot, then you had to go into agents, and it was a bit of a rigmarole.

I think now, because it's so easy that you can just split between chat and Cowork, **they're a bit more happy with it**. I still like Claude, to be honest, and every now and then I'll ask Claude something, mainly because I don't want to put everything through Cowork because of tokens, and for me, I think Claude is cheaper if I want to ask it just quick questions. You get so many tokens for free with Claude. There's going to be a point that we're not going to want to pay for ChatGPT and Claude and Copilot and Cowork. Sitting Claude, it's hard to get an enterprise agreement with them. You have to stick it on your credit card, and **that just gets annoying** when it's my credit card paying for everything.

Client 00:36:11

Got it. I did want to get to Agent 365, since **it does sound like that has been a driver of demand for E7**. Maybe you can talk a little bit about what exactly that tool does and how you guys are using it as it sounds like you've been building agents.

Expert 00:36:27

Yes. I brought some notes up on Agent 365 because I thought we would talk about it. Agent 365 for us is the equivalent of using Entra, Intune, and security controls but built for AI agents. For me, the key is shadow IT. Christian, who's the head of AI, sees Agent 365 differently to me. I use it as a way to control and understand what agents are out there, who owns them, what **they do, and for data leakage** more than anything. Although you've got good controls, I never want to see data leakage.

When you're adopting AI like **we did, at the start when there was not as much governance as there is now, the biggest challenge** is how do you control agents? How do you control your AI when you're trying to build agents to try and speed things up and when you've got people who are more tech-savvy building agents? **We never wanted to lose the visibility**, as we're in an AI-driven frontier company. It gives us that oversight on all our agents regardless of who built them and where they're operating. It gives a strong security control for us. We're a big Microsoft house, so we've just moved away from CrowdStrike to Defender. We're a modern workplace house, so we're fully Intune. We're built into that Microsoft ecosystem.

For us, we want to be able to have that visibility regarding what activity our agents are doing. We want to understand where they're being used, who's accessing them, how they're accessed into them, but also how do they improve performance and efficiencies. Agent 365, we've only just started, since we've had it, playing with it properly, but it gives you that single pane of glass on that lifecycle. It's a bit like Purview, where Purview tells me everything we're doing within our M365 environment. Agent 365 allows us to look at everything to do with our AI environment. For us, it moves away from us having a play area to being more enterprise operations. That's the key. It was a play area when we first started, but we can't just have play areas.

That's where shadow IT comes into face. We need to automate our process, our delivery, and how we push it out, and have some governance around it when it comes to being over permissive. You don't give too much permissions on your Copilot agent on a SharePoint site. Also, we're a regulated company. We can't just say, "Here you go. Here's a free for everyone." You have access to anything possible. Agent 365 and how we plan to deploy and use it fully, because it's still early stages for us on that side, it enables us to safely deploy the AI agents across our modern workplace, or as I call my digital workplace because I've decided to stop calling everything desktop. It's now digital. It also sounds much better.

We need to make sure our governance modules are strong. Although we've got those controls around it, **our governance needs to be tight**. Agent 365, hopefully if it all works well, should be that tool that does it for us. Time shall tell. We're early on that Agent 365 journey. We just started looking at it and seeing what its art of the possible is. If it works well, it will help be the manager. You've got Cowork, then you've got the Copilot agents, and then overall watching them all, managing them all, looking after them is Agent 365. If it does what it says it does, we should be able to stop people going rogue. **That's our biggest worry** is you have someone go rogue and start going crazy if they start using Cowork.

For us, that Agent 365 is our vision on how we protect it and how we can have a strong operational framework. Everything we do has a framework, no different to any of our Defender products. It allows us to manage what's going on in our environment. We pushed Intune out because it allows us to manage apps and have a framework and governance. We need that same level of governance on AI and hopefully Agent 365 will do it, but time shall tell because when you look under the hood and play with it, it's still work in progress. **It still throws up errors** all the time when you try and do stuff, so we shall see.

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Client 00:40:58

Got it. Microsoft labels it as the AI control plane, which sounds like that would be quite a valuable position for a company to be in, so I think **they have some other competitors** there. I don't know if you assessed any of them like ServiceNow talking about their AI Control Tower.

Expert 00:41:15

Funny enough, we are a huge ServiceNow house. We were about to have quite a big workshop with ServiceNow to discuss their offering with it because there are lots of security tools out there. CrowdStrike has an example. CrowdStrike can look at certain tools within what's running on your environment. For us, it's a two-edged sword. It's, "Do you carry on with Microsoft?" then you've got all your eggs in one basket. If something goes down or something breaks, you've got everything through Microsoft. At the same time, if everything is through Microsoft, they know it better than anyone else. It's no different to, for instance, why **we moved from CrowdStrike to Defender, one because of the cost saving**. ServiceNow, of course, as everyone knows, everything is expensive. There's no such thing as a cheap ServiceNow module.

With the fact that we've got E7, we've got Agent 365 automatically. For now, there's no additional cost for that controlled module and that control plane. I can't see us moving unless someone like CyberArk brings something out. We're a massive Palo Alto house. **Palo Alto brought in their CASB tooling, and no doubt** Palo Alto will bring out something there that manages Copilot and AI. For us also internally, if we were allowing people to have Claude, an alternative AI tooling, you'd probably look at bigger third-party product. All the time we're a M365 house and a Microsoft house, and we're all Copilot, it makes sense to stick with that Microsoft framework.

Client 00:42:56

Got it. The ServiceNow AI Control Tower sounds like you will check it out, but not too many.

Expert 00:43:03

Yes, we'll check it out, and I think everyone knows ServiceNow is not cheap. If we've already got tooling that does the job and we're a Microsoft house, will we look at alternatives? I think we always have to assess it. It would be stupid not to assess alternative solutions. All the time Agent 365 is included in E7, and they're not going to charge you more for ingestion and stuff, then I think we'll stick with it. It's one of those ones where Microsoft might know best.

Client 00:43:36

Got it. I know we've got about 10 minutes left, but on the software developer side, it sounds like you guys use GitHub Copilot, and I'd be curious if you also use Claude Code or OpenAI Codex, or if you're going to all-in on Copilot.

Expert 00:43:51

No, so we were all-in on GitHub for Copilot. We're a GitHub Enterprise. We got Copilot for GitHub very, very early on, and **it's good**. However, the price isn't bad, but I find **it annoying** that we're paying for Copilot in Git because it is very particular to Git, and it works really well. Where Copilot pretty much is unlimited tokens, give or take, GitHub for Copilot is token based. It's annoying. **The biggest issue** I have with our developers on-prem is they don't set it to auto. Within Copilot for GitHub, you've got your auto model. We'll optimize it for the cheapest model and the best optimized model.

You'll find a developer who likes a very particular model, and it will be the most expensive model, and then they'll pick whatever. They'll go, "I don't want to use anything else," and then they'll hit their token count that we allow people to have. They'll go, "Oh, I need more. I need more." No matter how many times you tell them, "You need to click auto. You need to optimize what you're doing." They just won't. You'll get the, "Well, it's making **me efficient**." This is where my efficiency argument comes in. One, how did a developer work before AI? How did you write code before AI? Also, if you can only write code with AI, **you're probably not a very good developer**. It's my mindset on it. It needs to make you efficient.

If we're going to spend $200-$300 on your tokens for Copilot for GitHub, you've got to be showing that **you're saving** that many hours in your day, especially when you're using Indian outsourcing, $200-$300 is like a couple of days worth of their day rate. Are you shaving off those couple of days? Are you making two, three days worth of efficiencies in utilizing Copilot for GitHub? I'm yet to see anyone show us that they're cutting down their hours or being shown efficiencies on it. **My worry** also is, do they review what they're seeing? When it's writing your code for you and giving you suggestions, do they fully understand what they're deploying, or is it just a case of copy and paste?

Client 00:46:11

Got it. I've been curious to talk with people about how the fully user-based pricing Copilot was going. You can understand why Microsoft is making the move because I'm sure they had some Copilot users who were going crazy, and they were still monetizing them on whatever,

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like a $20-per-month seat. They were burning tons of tokens, but **it does seem annoying as a customer** too.

Expert 00:46:34

For me, **it's irritating,** but I reckon it won't be long. We know for the great fund that Microsoft is going to start charging more money for agents, so you'll have to license your agent specifically. We know that's coming down the pipeline. **I think our biggest worry** internally is if they start giving you true token amounts for Copilot. If they start doing what they've done with Cowork with Copilot, and there's starting to be token counts and stuff, that's going to absolutely destroy us.

Client 00:47:04

For Microsoft 365 Copilot, you're saying?

Expert 00:47:08

Yes, for Microsoft 365 Copilot, if they change that to a token-based.

Client 00:47:15

I feel like they will, though.

Expert 00:47:17

They're going to have to. It's not a sustainable model. Everyone does it. Databricks, everyone does it because it's not a substantial model. There is a cost to every time you're searching for something, just on sheer power. I think if they do that, they need to come in with either a very, very competitive price, or **they're going to lose market share**. **They will lose market share**.

Client 00:47:43

Microsoft pricing predictability and their bundling being cheaper has always been one of their strengths. Maybe the consumption piece changes that.

Expert 00:47:52

They give you E7 with a bundle on top for tokens or something. We know it's on the horizon. We know agents are going to be licensed soon. We've already had that inkling at some point soon, every agent will have a specific agent license. They might give us a 20% discount on E7 next time, and we'll just spend it on Copilot tokens knowing us.

Client 00:48:16

We've spoken a number of times about tokens, and **that's been a theme of 2026 so far is token cost for a number of enterprises spiraling out of control**. I wonder if there are any primary ways in which you're managing that.

Expert 00:48:31

A couple things. We have budget requirements. Everything has got ceilings because **one of my bosses and one of my biggest worries** is if you don't have budgets set amounts, people will go crazy. We're very conservative on it. For instance, on our overall Cowork, we'll set three million tokens overall per month, and then ramp it up if we need be, but if not, we can actually ramp it up to specific users. We've got three million as a full org, and then within teams, we set boundaries and budgets. On GitHub for Copilot, everyone has got $100-200, and that's it. You have to put in a very specific reasoning why.

I think that's the key right now is you have to have cost discipline because if you don't have these in and you're just going pay-as-you-go, and it's just hitting your CSP or your consumption costs, and you've got nothing in there to stop it, you're going to be hit by a million-dollar invoice one month. I think what resonated to ourselves was a company who got hit by a, was it a $500-million invoice for their token usage? We don't want that. No one wants that. No company can absorb a huge token invoice. That's the key for us. We have just been so disciplined, and anytime we see something going to token base, we get there early. **We put budget constraints in and cost constraints,** and we hold people accountable for it.

When I do my budgeting cycle, we make sure we know how much we want to spend, and that's what we set, and anything over that needs to come out discretionary spent. That's got to be a business-driven requirement or business-driven need if we want to go over or a project related requirement. For instance, Copilot GitHub, if there's a specific project that needs it, they need to budget for it, and we'll allow that budget amount to go up for it and then cross charge. You have to be disciplined. If you're not disciplined, **you're going to wake up one day with very, very sore bank account**.

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Client 00:50:42
Sorry, just because you said everyone has $100-200 for GitHub Copilot. What was that number exactly?

Expert 00:50:51
We've got 100 people on it, and they've got a $100-200 budget amount for their tokens.

Client 00:50:57
Per month?

Expert 00:50:59
Per month, yeah. Again, I think there are only two people who go over it. Most people only sit at $20, $30. We've got these people, and funny enough, it's the ones who refuse to change away from the manual model they chose to automatic, who go widely over. They are working on very specific projects, and they get an approval on a month-to-month basis to go over. Even their allowance only goes up to $200-$300.

Now I go, "Actually, you can't have it. You need to go look at Copilot and see what you can put in Copilot or what other tooling we've got because if all 100 people with Copilot GitHub licenses requested a 100 increase, that's $10,000 just gone without even thinking about it." This is it. We just have to be disciplined. People don't like the word no, but you always find when you push back on people, they either suck it up and take it, or they throw their toys out the pram, then they have to find budget on how they're going to afford to keep increasing it.

Client 00:52:06
My last question, and maybe I'm missing something, but **I was a little surprised by the disconnect** because I think you said $100-200 per developer per month for GitHub Copilot. I think on the Copilot Cowork, you were saying they're using low four figure a month. Why such a big gap?

Expert 00:52:25
The token cost difference. From what we've seen, Copilot for GitHub doesn't use half as many tokens as Cowork. If you take into account something simple in Cowork, so you want to make a presentation look pretty. That's 4,000 tokens. That's that sheer token count. That's one thing we've seen is Copilot for GitHub token, because it can't create images, because it's not doing a lot of heavy lifting, it's just looking at code. That review of code is cheap. The expense comes in when you're looking at that cost to make things pretty, to go and search in the heavier duty stuff where Cowork is used in. The token count on that is phenomenal.

For instance, if someone is using it on a daily schedule to go, "Go get me all of the insurance news on all of these sites, condense it all, summarize it for me, and put it into an exec summary," you're looking at 12,000-13,000 tokens a day just to do that. That's compared to Copilot for GitHub, where it's not doing all that heavy lifting. It's literally searching repositories for data code, and that's it, and **it's much cheaper**.

Client 00:53:37
Got it. The nature of some of the queries and the things Cowork is tasked to do mean that it burns way more tokens than GitHub does.

Expert 00:53:47
Exactly that.

Client 00:53:49
All right. Those were all my questions. This was super helpful to get your experience as a Microsoft Frontier customer. Again, I'm sure Microsoft is pleased with you guys. You sound like you're really pushing the boundaries of all their products and features.

Expert 00:54:08
They like us, let's put it that way, not just because we pay them a lot of money. Of course, that helps though.

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Client 00:54:15

Anyways, thanks a lot for your time. I appreciate your time.

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